Polymarket Bot Research — AI Training Ideas

Competitor analysis: April 21, 2026

Accounts Analysed

Account	Positions Value	Predictions	Notable P&L
automatedAItradingbot	$2.2K	2,886	$30.4K biggest win
ColdMath	$67.7K	6,439	$1,272 today
sharky6999	N/A (private)	N/A	$551K last month
0x6e1d...	$1.2M	915	$30K today

Account Breakdowns

automatedAItradingbot

- **Strategy**: High-volume, low-stake scatter approach
- **Markets**: Exact daily temperature predictions (specific °C/°F per city per day)
- **Entry**: Buys 100–1,000 shares at 5¢ on correct cheap shots
- **Win pattern**: ~1,900% ROI when correct (e.g. Seoul 14°C April 21 → 5¢ to 99.5¢)
- **Loss pattern**: Wrong specific temp bracket on same city/day → near zero
- **Mix**: Also dabbles in cricket toss, pop culture, SpaceX — all small, mostly losing
- **Key insight**: Edge is pure weather forecasting accuracy, not market mechanics

ColdMath

- **Strategy**: High-conviction, high-capital weather arbitrage
- **Markets**: Weather outcomes already at 94–99¢, squeezing last 1–5% to resolution
- **Entry**: $500–$12,000 per position, dozens of concurrent bets
- **Win pattern**: Grinding yield on near-certainties across many independent events
- **Notable position**: FC Nordsjælland football spread +132% unrealised
- **Key insight**: Not finding cheap shots — deploying large capital on near-certain outcomes. Diversification across independent events is the risk management strategy.

sharky6999

- **Strategy**: Unknown (positions didn't render) — likely weather or crypto at scale
- **Scale**: $551K profit in one month suggests heavy capital + high win rate
- **Action item**: Pull trade history via Polymarket API to reverse-engineer strategy

0x6e1d5040... (BTC Ladder Bot)

- **Strategy**: Structured BTC price range trading using prediction markets
- **Markets**: Full ladder across BTC monthly price outcomes — selling downside ("No BTC dips to $40K–$65K") and buying upside ("Yes BTC above $68K–$72K on specific dates")
- **Scale**: $1.2M deployed, $30K profit today
- **Biggest position**: $395K on "BTC won't dip to $65K in April" — entered at 70¢, now 91.5¢ (+$92K unrealised)
- **Key insight**: Synthetic options strategy using prediction markets as the instrument. Requires strong BTC floor/ceiling conviction.

What's Working — Patterns to Train On

1. Weather Market Forecasting Edge

- Weather data is highly available and machine-readable
- Forecasts narrow significantly within 24–48hrs before resolution
- Market prices often lag forecast updates
- **Training idea**: Fine-tune on NWS/Open-Meteo API data + historical market price data. Model should predict: "given current forecast, what is the true probability vs. current market price?"
- **Signal**: If model probability exceeds market price by >5%, enter

2. High-Probability Late-Entry Arbitrage

- Markets already at 90–99¢ with <48h to resolution
- Remaining uncertainty is low but capital can still earn 1–5%
- Running dozens simultaneously compounds the yield
- **Training idea**: Train classifier on: (current price, hours to resolution, market category, external data signal) → (probability of resolution YES)
- **Filter**: Only enter when model confidence > market price, position size proportional to edge

3. BTC Range Ladder Strategy

- Sell "No" on extreme downside events (BTC at $40K–$55K in a month)
- Buy "Yes" on moderate upside (BTC above $68K–$72K in next few days)
- Works best with macro BTC conviction + options market implied vol as a reference
- **Training idea**: Use BTC options chain (Deribit) to model true probabilities, compare to Polymarket prices, find mispricings across the ladder
- **Signal**: Delta between implied vol probability and Polymarket market price

4. Sports Spread Mispricing (Advanced)

- Requires real match/team data — not viable without sports data infrastructure
- ColdMath's Norwegian football bet (+46%) suggests a quantitative model edge
- **Training idea**: Only pursue with proper sports data pipeline (Opta, StatsBomb etc.)

Recommended Bot Development Priorities

Priority 1 — Weather Module ⭐⭐⭐

- **Data sources**: Open-Meteo, NWS, Weather.gov
- **Markets**: Daily high temp predictions (exact °C/°F per city)
- **Entry window**: 24–48h before resolution when forecast confidence is high
- **Sizing**: Scale with confidence delta between model and market price
- **Key cities to cover**: Seoul, Chicago, Dallas, Austin, London, LA, Sao Paulo, Buenos Aires, Tokyo

Priority 2 — High-Confidence Scanner ⭐⭐⭐

- **Logic**: Scan all markets >90¢ with <48h to resolution
- **Cross-check**: Verify against external data source (weather, scores, etc.)
- **Size**: Proportional to (1 - current price) as a yield calculation
- **Risk control**: Cap per-market exposure, diversify across independent events

Priority 3 — BTC Monthly Range Ladder ⭐⭐

- **Logic**: Model BTC floor/ceiling for current month using on-chain data + options vol
- **Execution**: Ladder positions across all available monthly outcome markets
- **Entry timing**: Enter mid-month once trajectory is clearer
- **Risk**: Single correlated exposure — size carefully

Priority 4 — Sports Spread (Future) ⭐

- Only viable with proper data pipeline
- Target: Norwegian Eliteserien, Danish Superliga (less efficient, more edge)

AI Model Training Notes

Feature Ideas for Weather Model

- T-48h forecast temperature (point estimate)
- T-48h forecast confidence interval
- Historical accuracy of forecast for that city/month
- Current market price
- Time to resolution (hours)
- Market liquidity (volume)

Feature Ideas for BTC Range Model

- BTC spot price
- Options implied volatility (30-day)
- Days remaining in month
- Current Polymarket price for each ladder rung
- On-chain metrics (exchange inflows, funding rates)

Labels (Ground Truth)

- Resolution outcome: YES / NO
- Collect historical resolved markets from Polymarket API

Architecture Suggestions

- Start with XGBoost/LightGBM for tabular features (fast, interpretable)
- Weather model: can also use a simple regression on forecast vs. market price delta
- BTC model: time-series features, consider LSTM or transformer on price history
- Retrain daily on new resolved markets to keep model fresh

Action Items

- [ ] Pull sharky6999 trade history via Polymarket API

- [ ] Set up Open-Meteo feed for top 15 weather market cities
- [ ] Map historical resolved weather markets (last 90 days) for training data
- [ ] Build scanner: markets >90¢, <48h remaining, with external signal check
- [ ] Source Deribit BTC options data for range ladder calibration
- [ ] Implement position sizing formula: `size = base_unit * (model_prob - market_price) / (1 - market_price)`